



Circular 40 of 2022

19 September 2022

TO: Zimbabwe Association of Pension Funds (ZAPF)

Life Offices Association of Zimbabwe (LOA)

Insurance Brokers Association of Zimbabwe (IBAZ)

Pension Fund Administrators

Self-Administered Pension Funds

Issuance of Guideline on Record Keeping Standards, Guideline on the Determination of Preservation Amounts and Commutable Benefits and Guideline for Appointment of Fund Liquidators.

1.1. In pursuit of its mandate to safeguard pension values and improve data integrity, for the protection of the interests of fund members and their beneficiaries, the Commission hereby issues the Guidelines listed below.

Guideline on Record-keeping Standards for the Insurance and Pensions Industry

1.2. This guideline was developed in recognition of the fact that the purpose of the Insurance and Pensions industry is to pay the correct benefits to the rightful beneficiaries when they become due.

1.3. Poor record-keeping has historically and continues to be a significant driver of conduct risk. This is due to the fact that the absence of correct and complete data can lead to the following risks:

- a) Incorrect benefits being paid, or benefits are not paid at all.
- b) Benefits being paid out to the wrong beneficiaries.
- c) Avoidable delays in settling benefits or claims.

1.4. The Guideline has provisions targeted at ensuring that member and policyholder data is sufficiently robust to inform financial reporting and actuarial valuations and withstand scrutiny from both internal and external audit. In addition, it is aimed at ensuring that data is complete to guarantee its usefulness in the resolution of grievances from policyholders and fund members.

Guideline on the Determination of Preservation Amounts and Commutable Benefits.

1.5. This guideline shall only apply to members who exit the fund post the issuance date and shall not be used to determine eligibility to full commutation for members that are currently receiving pension benefits.

1.6. The Guideline is developed to address the challenge of preservation of low levels of benefits and the value erosion of such benefits through expenses. The Commission acknowledges that the current level of benefits that qualify for preservation is very low and has not kept pace with the changes in the economic environment.

1.7. Therefore, the guideline sets benefit levels for the purpose of determining eligibility to preservation and full commutation for members who retire or exit the fund after the date of issuance of the guideline. However, members shall have an option to commute or preserve their benefits. All funds and administrators are urged to educate pensioners on the pros and cons of commuting benefits.

Guideline for the Appointment of Fund Liquidators

1.8. The Guideline is issued in recognition of the key role that liquidators play in the dissolution of a pension fund. Thus, the purpose of the guideline is to: -

- a) Outline the process to be followed by the pensions industry liquidators in the application for listing as approved liquidators for funds under dissolution.
- b) Prescribe the minimum requirements necessary for approval as a liquidator in order to ensure adequate protection of members' interests during the dissolution process.

The guidelines are attached to this Circular for your attention and implementation. All enquiries and clarifications should be directed to pensions@ipec.co.zw.

Please be guided accordingly.

Yours Sincerely



Grace Muradzikwa

COMMISSIONER OF INSURANCE PENSION AND PROVIDENT FUNDS